6 Discussion

[To be completed: Write the discussion yourselves. Evidence available in results/tables/ and docs/summary.md: (1) share of DY connectedness explained by the common factor (41%, stable across robustness) and its link with the time pattern; (2) how the method changes the picture (density, agreement, stability, Table 2); (3) interpretation of net transmitters/receivers, including Argentina (role in the paper still to be defined by the group); (4) limitations: returns instead of volatilities, ETF/currency effects, short windows for FNETS and NETS (numerical safeguards, tuning-driven drops), sparse methods leave almost no lagged links; (5) the team's database-based extension (to be added once the code is shared).]

7 Conclusion

[To be completed: Answer the research question and state what can be claimed with confidence. Final wording of the question and hypotheses is still to be decided by the group.]

8 References

Matteo Barigozzi and Christian Brownlees. NETS: Network estimation for time series. *Journal of Applied Econometrics*, 34(3):347–364, 2019.

Matteo Barigozzi, Haeran Cho, and Dom Owens. FNETS: Factor-adjusted network estimation and forecasting for high-dimensional time series. *Journal of Business & Economic Statistics*, 42(3):890–902, 2024.

T. Tony Cai, Weidong Liu, and Harrison H. Zhou. Estimating sparse precision matrix: Optimal rates of convergence and adaptive estimation. *The Annals of Statistics*, 44(2):455–488, 2016.

Jiahua Chen and Zehua Chen. Extended Bayesian information criteria for model selection with large model spaces. *Biometrika*, 95(3):759–771, 2008.

Francis X. Diebold and Kamil Yılmaz. On the network topology of variance decompositions: Measuring the connectedness of financial firms. *Journal of Econometrics*, 182(1):119–134, 2014.

Kristin J. Forbes and Roberto Rigobon. No contagion, only interdependence: Measuring stock market comovements. *The Journal of Finance*, 57(5):2223–2261, 2002.

Mario Forni, Marc Hallin, Marco Lippi, and Lucrezia Reichlin. The generalized dynamic-factor model: Identification and estimation. *Review of Economics and Statistics*, 82(4):540–554, 2000.

Marc Hallin and Roman Liška. Determining the number of factors in the general dynamic factor model. *Journal of the American Statistical Association*, 102(478):603–617, 2007.

Gary Koop, M. Hashem Pesaran, and Simon M. Potter. Impulse response analysis in nonlinear multivariate models. *Journal of Econometrics*, 74(1):119–147, 1996.

Dom Owens, Haeran Cho, and Matteo Barigozzi. fnets: An R package for network estimation and forecasting via factor-adjusted VAR modelling, 2024. R package version 0.1.6, CRAN.

Jie Peng, Pei Wang, Nengfeng Zhou, and Ji Zhu. Partial correlation estimation by joint sparse regression models. *Journal of the American Statistical Association*, 104(486):735–746, 2009.

H. Hashem Pesaran and Yongcheol Shin. Generalized impulse response analysis in linear multivariate models. *Economics Letters*, 58(1):17–29, 1998.